

# **Medi Buddy Analysis Project– Insights Report**

## **1. Gender vs Claims:**

Data Insight: Average claim amounts for male and female customers are similar, indicating no meaningful difference.

Business Insight: Gender should not be used for pricing or underwriting decisions, maintaining fairness and regulatory alignment.

Positive Impact: Prevents over-segmentation and simplifies policy offerings.

## **2. Average Claim Amount:**

Data Insight: The average claim amount is approximately \$13,000 per policy.

Business Insight: This provides a baseline for cost estimation and helps predict future claim exposure.

Positive Impact: Supports budgeting, pricing strategy, and reserve planning.

## **3. Region vs Claims:**

Data Insight: Claims remain consistent across southeast, southwest, northwest, and northeast regions with no unusual patterns.

Business Insight: Geographic differentiation does not add value to risk assessment.

Positive Impact: Avoids region-based pricing complexity and keeps products uniform nationwide.

#### **4. Dependents vs Claims:**

Data Insight: Number of children/dependents does not significantly alter claim amounts.

Business Insight: Dependents might not directly influence personal health-related claims.

Positive Impact: Simplifies policy underwriting and avoids unnecessary premium adjustments.

#### **5. BMI vs Claims:**

Data insight: Higher BMI is associated with higher claim amounts due to elevated medical risk.

Business Insight: BMI can be evaluated as a legitimate health risk factor for pricing.

Positive Impact: Enables insurer to design health-aware policies and preventive wellness incentives.

#### **6. Smoker vs Non-Smoker:**

Data Insight: Smokers have significantly higher medical claim amounts compared to non-smokers.

Business Insight: Smoking directly increases risk of chronic diseases, making it a strong underwriting factor.

Positive Impact: Supports differential premium strategies and motivates customers to adopt healthier lifestyles.